SUBCONTRACT AGREEMENT — CAST-IN-PLACE CONCRETE

This Subcontract Agreement (the "Subcontract") is made and entered into as of February 2, 2026 (the "Effective Date"), by and between **Sierra Crest General Contractors, Inc.**, a California corporation holding California Contractors State License Board ("CSLB") License No. 917442, Class B, with its principal office at 2215 East Foothill Boulevard, Suite 300, Pasadena, California 91107 ("Contractor"), and **Granite State Concrete, Inc.**, a California corporation holding CSLB License No. 1063518, Class C-8, with its principal office at 4870 Mission Boulevard, Ontario, California 91762 ("Subcontractor").

Contractor has entered into a prime contract dated November 17, 2025 (the "Prime Contract") with **Pasadena Arts Foundation**, a California nonprofit public benefit corporation ("Owner"), for construction of the **Colorado Boulevard Gallery Expansion**, located at 1482 East Colorado Boulevard, Pasadena, California 91106 (the "Project").

Contractor wishes to engage Subcontractor to perform a portion of the work under the Prime Contract, and Subcontractor is willing to perform that work on the terms below. In consideration of the mutual promises in this Subcontract, the parties agree as follows.

ARTICLE 1 — DEFINITIONS AND SUBCONTRACT DOCUMENTS

1.1 **Defined Terms.** In this Subcontract: - "Subcontract Work" means the work described in Article 2. - "Application" means a written application for payment submitted by Subcontractor under Article 5. - "Approved Application" means an Application as approved by Contractor, in whole or in part, under Section 5.3. - "Final Completion" means Subcontractor has fully completed the Subcontract Work, including all punch list items, and has delivered all closeout submittals required by Section 5.7. - "Retention" means the amounts withheld under Article 6.

1.2 **Subcontract Documents.** The Subcontract Documents consist of the following documents, which are incorporated by reference: - this Subcontract and its Exhibit; - the Drawings and Specifications prepared by Arroyo Seco Architects, LLP, issued for construction and dated October 6, 2025, together with Addenda 1 through 3; - the general and supplementary conditions of the Prime Contract; and - the Project schedule issued by Contractor, as revised from time to time.

Subcontractor acknowledges that it has had the opportunity to review these documents.

1.3 **Flow-Down of Obligations.** As to the Subcontract Work, Subcontractor assumes toward Contractor the same obligations that Contractor assumes toward Owner under the Prime Contract. This flow-down does not apply to the time or conditions of payment to Subcontractor. Those are governed exclusively by Articles 5 and 6 of this Subcontract.

1.4 **Order of Precedence.** If the Subcontract Documents conflict, this Subcontract governs over the Prime Contract. Within the Drawings and Specifications, the more stringent requirement governs unless Contractor directs otherwise in writing.

ARTICLE 2 — SCOPE OF SUBCONTRACT WORK

2.1 **General.** Subcontractor shall furnish all labor, supervision, materials, equipment, tools, formwork, shoring, and incidentals needed to complete the cast-in-place concrete work for the Project. This work is described

in Specification Section 03 10 00 (Concrete Forming and Accessories), Section 03 20 00 (Concrete Reinforcing, placement only), Section 03 30 00 (Cast-in-Place Concrete), Section 03 35 43 (Polished Concrete Finishing), and Section 32 16 13 (Site Concrete Curbs and Walks).

2.2 **Included Work.** The Subcontract Work includes: - spread and continuous footings, grade beams, and pile caps; - stem walls and foundation walls; - interior slab on grade, including vapor retarder installation and gallery-grade polished finish; - concrete topping on composite metal deck at the mezzanine; - mechanical and electrical equipment pads; - exterior walks, curbs, and the plaza paving band; and - all embedded items furnished by others that are to be cast into Subcontractor's concrete.

2.3 **Excluded Work.** The Subcontract Work excludes: - excavation and backfill beyond hand trimming; - furnishing of reinforcing steel; - structural steel and metal deck; - special inspection and testing fees paid by Owner; and - sealants at building joints.

Subcontractor shall nevertheless coordinate with the trades performing excluded work.

2.4 **Layout.** Contractor will establish primary control lines and benchmarks. Subcontractor is responsible for all secondary layout from those controls.

2.5 **Cleanup.** Subcontractor shall do the following daily: - remove concrete waste, washout material, and debris resulting from the Subcontract Work; - maintain a designated washout area meeting Project stormwater requirements; and - leave its work areas broom clean.

ARTICLE 3 — SUBCONTRACT SUM

3.1 **Amount.** Contractor shall pay Subcontractor, for full and complete performance of the Subcontract Work, the sum of **Three Hundred Eighty-Five Thousand Dollars ($385,000.00)** (the "Subcontract Sum"). The Subcontract Sum is subject to additions and deductions by Change Order under Article 9.

3.2 **Inclusions.** The Subcontract Sum includes all applicable sales and use taxes, permits required to be obtained by Subcontractor, overhead, profit, and bond premiums, if any.

3.3 **Schedule of Values.** The Subcontract Sum is allocated as set forth in the Exhibit — Schedule of Values. That schedule shall be used to evaluate each Application. Subcontractor may not revise the Schedule of Values without Contractor's written consent.

ARTICLE 4 — TIME AND SCHEDULE

4.1 **Commencement.** Subcontractor shall commence the Subcontract Work within five (5) working days after written notice from Contractor.

4.2 **Prosecution of the Work.** Subcontractor shall prosecute the Subcontract Work diligently, in accordance with the Project schedule. Subcontractor shall supply sufficient crews, forms, and equipment to meet that schedule.

4.3 **Time Is of the Essence.** Time is of the essence of this Subcontract.

4.4 **Schedule Coordination.** Subcontractor shall do the following: - participate in weekly coordination meetings; - provide a three-week look-ahead schedule for its work at each meeting; and - give Contractor at least forty-eight (48) hours' notice before each concrete placement, so that inspections may be scheduled.

4.5 **Delays.** Subcontractor shall notify Contractor in writing within seven (7) days after the start of any delay it attributes to causes beyond its control. An extension of time is Subcontractor's sole remedy for such a delay unless the delay is caused by Contractor's own fault.

ARTICLE 5 — PROGRESS PAYMENTS

5.1 **Payment Period Agreed in Writing.** The parties expressly agree in writing, by signing this Subcontract, to the payment period stated in this Article.

5.2 **Monthly Applications.** On or before the twenty-fifth (25th) day of each month, Subcontractor shall submit an Application to Contractor. Each Application shall: - cover the value of Subcontract Work actually performed and incorporated into the Project through the end of that month; - be itemized according to the Schedule of Values; and - be accompanied by the lien waivers and releases required by Article 7.

5.3 **Review and Approval.** Contractor shall review each Application within seven (7) days after receipt.

(a) Contractor shall approve the Application to the extent the work claimed has been properly performed.

(b) If Contractor disapproves any portion of an Application, it shall promptly notify Subcontractor in writing of the amount disapproved and the reasons.

(c) Any undisputed portion shall be treated as an Approved Application.

5.4 **Time of Payment.** Contractor shall pay Subcontractor the amount due on each Approved Application, less Retention under Article 6, within thirty (30) days after Contractor's receipt of the Approved Application. This payment obligation is independent of whether Owner has paid Contractor. Owner's failure or delay in making payment to Contractor shall not extend or excuse Contractor's obligation to pay Subcontractor within this thirty (30) day period.

5.5 **No Payment for Stored Materials.** Contractor shall not pay for materials or equipment stored on or off the Project site that have not been incorporated into the Subcontract Work. Applications shall include only the value of materials actually installed in place.

5.6 **Payment Not Acceptance.** No payment by Contractor constitutes acceptance of defective or nonconforming work.

5.7 **Final Payment.** Upon Final Completion, Subcontractor shall submit a final Application. It shall be accompanied by: - as-built markups; - concrete delivery tickets and mix records; - warranties; and - the final lien waivers and releases required by Article 7.

Contractor shall pay the balance of the Subcontract Sum, other than Retention, within thirty (30) days after Contractor's receipt of the approved final Application. This obligation applies whether or not Owner has paid Contractor. Retention shall be released as provided in Article 6.

ARTICLE 6 — RETENTION

6.1 **Amount Withheld.** Contractor shall withhold Retention of five percent (5%) from each progress payment made under Article 5.

6.2 **Release of Retention.** Contractor shall pay Subcontractor all Retention within ten (10) days after Final Completion of the Subcontract Work. This release is not conditioned on Contractor's receipt of retention or any

other payment from Owner. As a condition of release, Subcontractor shall have delivered the final Application, closeout submittals, and lien waivers required by Sections 5.7 and 7.4.

6.3 **Withholding From Retention.** The only amounts Contractor may deduct from Retention are amounts it is entitled to withhold under Article 8. Any such deduction requires written notice to Subcontractor stating the amount and the basis.

ARTICLE 7 — LIEN WAIVERS AND RELEASES

7.1 **Statutory Forms Required.** Every waiver and release required by this Article shall be in the applicable form set forth in California Civil Code Sections 8132, 8134, 8136, and 8138. Waivers in any other form will not be accepted.

7.2 **Conditional Waiver With Each Application.** Subcontractor shall submit, with each progress Application, a Conditional Waiver and Release on Progress Payment covering the amount requested in that Application.

7.3 **Unconditional Waiver After Payment.** Within five (5) days after receiving each progress payment, Subcontractor shall deliver to Contractor an Unconditional Waiver and Release on Progress Payment covering the amount actually received. Contractor may decline to process Subcontractor's next Application until this waiver has been delivered.

7.4 **Final Waivers.**

(a) With its final Application, Subcontractor shall submit a Conditional Waiver and Release on Final Payment.

(b) Within five (5) days after receiving final payment and Retention, Subcontractor shall deliver an Unconditional Waiver and Release on Final Payment.

7.5 **Lower-Tier Waivers.** With each Application, Subcontractor shall furnish waivers and releases from each of its sub-subcontractors and material suppliers who furnished labor, materials, or equipment for the Subcontract Work during the period covered. These waivers shall be in the corresponding statutory form: - conditional waivers for amounts then requested; and - unconditional waivers for amounts paid to them from the prior payment.

7.6 **Lien and Claim Protection.** Subcontractor shall do both of the following: - promptly pay its sub-subcontractors and suppliers; and - keep the Project and Owner's property free of mechanics liens and stop payment notices arising from the Subcontract Work.

If any such lien or stop payment notice is recorded or served, Subcontractor shall cause it to be released or bonded within ten (10) days after written demand by Contractor.

ARTICLE 8 — WITHHOLDING AND SETOFF

8.1 **Withholding for Defective Work.** Contractor may withhold from any payment an amount reasonably sufficient to cover the cost of correcting defective or nonconforming Subcontract Work. Examples include concrete that fails specified strength, flatness, or finish tolerances. Contractor may continue to withhold that amount until the work has been corrected and accepted.

8.2 **Backcharges and Setoff.** Contractor may set off against any amount otherwise due Subcontractor, under this Subcontract or otherwise, the following: - the reasonable costs Contractor incurs because of

Subcontractor's failure to perform, including cleanup, repair of damage to the work of others, and supplementation of Subcontractor's forces; and - any other sums Subcontractor owes Contractor.

8.3 **Notice of Backcharge.** Before incurring backcharge costs, except in an emergency, Contractor shall give Subcontractor written notice and forty-eight (48) hours to cure.

8.4 **Statement of Amounts Withheld.** Contractor shall itemize all withholding and setoff amounts in writing at the time of the affected payment.

8.5 **Payment of Withheld Amounts.** Once the basis for a withholding has been eliminated, the amount withheld shall be paid with the next payment due under Article 5.

ARTICLE 9 — CHANGES IN THE WORK

9.1 **Change Orders.** Contractor may order additions, deletions, or other revisions to the Subcontract Work without invalidating this Subcontract. Any adjustment to the Subcontract Sum or schedule shall be made by written Change Order signed by both parties.

9.2 **Written Authorization Required.** Subcontractor shall not perform extra work without a written Change Order or written field directive from Contractor's project manager. Work performed without such authorization will not be paid.

9.3 **Pricing.** Subcontractor's proposals for changed work shall itemize labor, materials, equipment, and markup. Markup is limited to: - ten percent (10%) for overhead and profit on Subcontractor's own work; and - five percent (5%) on the work of its sub-subcontractors.

9.4 **Claims.** Subcontractor shall give written notice of any claim for additional compensation or time within seven (7) days after the event giving rise to the claim. Supporting documentation shall follow within twenty-one (21) days.

9.5 **Payment for Changed Work.** Approved Change Order work shall be included in Applications and paid on the same terms and within the same thirty (30) day period as base-contract work under Article 5.

ARTICLE 10 — INSURANCE AND INDEMNITY

10.1 **Insurance.** Before commencing work, Subcontractor shall furnish certificates and endorsements evidencing the following coverage: - commercial general liability of $2,000,000 per occurrence and $4,000,000 aggregate, including completed operations; - automobile liability of $1,000,000 combined single limit; - workers' compensation as required by California law, with employer's liability of $1,000,000; and - umbrella liability of $5,000,000.

10.2 **Additional Insureds.** Contractor, Owner, and Arroyo Seco Architects, LLP shall be named as additional insureds on the general liability and umbrella policies on a primary and non-contributory basis.

10.3 **Indemnity.** To the fullest extent permitted by law, including California Civil Code Section 2782, Subcontractor shall defend, indemnify, and hold harmless Contractor and Owner from claims, damages, losses, and expenses. This obligation applies to claims for bodily injury, property damage, and lien claims, to the extent caused by the negligence or willful misconduct of Subcontractor, its sub-subcontractors, or anyone for whose acts they are responsible. Subcontractor shall not be obligated to indemnify any party for that party's active negligence or willful misconduct.

ARTICLE 11 — SAFETY AND SITE CONDITIONS

11.1 **Compliance.** Subcontractor shall comply with Cal/OSHA regulations, Contractor's site safety program, and the Project stormwater pollution prevention plan.

11.2 **Competent Person.** Subcontractor shall designate a competent person for formwork, shoring, and silica exposure control. Subcontractor shall implement a written exposure control plan for saw-cutting and polishing operations.

11.3 **Hazardous Conditions.** Subcontractor shall immediately notify Contractor of any unsafe condition. Subcontractor shall stop work in the affected area until the condition is resolved.

ARTICLE 12 — WARRANTY AND CORRECTION OF WORK

12.1 **Warranty.** Subcontractor warrants all Subcontract Work against defects in materials and workmanship for one (1) year from the date of substantial completion of the Project, or for any longer period required by the Specifications.

12.2 **Correction.** Within seven (7) days after written notice, Subcontractor shall correct or replace any defective Subcontract Work at its own cost. This includes cracking, curling, or delamination beyond specified tolerances.

12.3 **Remedies Preserved.** This warranty is in addition to, and not in limitation of, any other rights Contractor may have under law.

ARTICLE 13 — DEFAULT AND TERMINATION

13.1 **Default.** Each of the following is a default by Subcontractor: - failing to supply adequate labor or materials; - failing to make prompt payment to its sub-subcontractors or suppliers; - disregarding laws or Contractor's instructions; or - otherwise materially breaching this Subcontract.

13.2 **Notice and Cure.** If Subcontractor fails to commence curing a default within three (3) working days after written notice, and to complete the cure diligently, Contractor may take either or both of the following actions: - supplement Subcontractor's forces; or - terminate Subcontractor's right to proceed and complete the work by other means.

Subcontractor is liable for the reasonable excess cost of completion.

13.3 **Termination for Convenience.** Contractor may terminate this Subcontract for convenience upon seven (7) days' written notice. In that event, Contractor shall pay Subcontractor for the following, less prior payments: - Subcontract Work properly performed through the termination date; - reasonable demobilization costs; and - a reasonable allowance for overhead and profit on the work performed.

13.4 **Subcontractor's Remedy for Nonpayment.** If Contractor fails to pay any undisputed amount within the time required by Article 5 or Article 6, Subcontractor may give written notice of nonpayment. If payment is not made within seven (7) days after that notice, Subcontractor may suspend the Subcontract Work until paid. Subcontractor is also entitled to the prompt payment remedies provided by California law.

ARTICLE 14 — DISPUTE RESOLUTION

14.1 **Negotiation.** The parties shall first attempt to resolve any dispute through meetings between their project executives within fourteen (14) days after written notice of the dispute.

14.2 **Mediation.** Unresolved disputes shall be submitted to non-binding mediation in Los Angeles County, California, before a mediator experienced in construction matters. The parties shall share the mediator's fees equally.

14.3 **Litigation.** If mediation does not resolve the dispute within sixty (60) days, either party may bring suit in the Superior Court of California, County of Los Angeles.

14.4 **Continued Performance.** Pending resolution of any dispute, Subcontractor shall continue performance of the Subcontract Work. Contractor shall continue to make undisputed payments as required by Articles 5 and 6.

ARTICLE 15 — GOVERNING LAW

15.1 **California Law.** This Subcontract is governed by the laws of the State of California, without regard to its conflict-of-laws principles.

15.2 **Licensing.** Subcontractor represents that it holds, and will maintain throughout performance, a valid CSLB license in the classification appropriate to the Subcontract Work.

ARTICLE 16 — GENERAL PROVISIONS

16.1 **Assignment.** Subcontractor shall not assign this Subcontract, or any payment due under it, without Contractor's prior written consent.

16.2 **Notices.** Notices shall be in writing and delivered by hand, overnight courier, or email with confirmation to the addresses stated in the preamble. Notices take effect on receipt.

16.3 **Entire Agreement.** This Subcontract, with the documents incorporated by Section 1.2, is the entire agreement of the parties regarding the Subcontract Work. It supersedes all prior proposals and negotiations.

16.4 **Amendments.** No amendment to this Subcontract is binding unless it is in writing and signed by both parties.

16.5 **Severability.** If any provision of this Subcontract is held unenforceable, the remaining provisions remain in full effect.

16.6 **Counterparts.** This Subcontract may be signed in counterparts and by electronic signature. Each counterpart is deemed an original.

IN WITNESS WHEREOF, the parties have executed this Subcontract as of the Effective Date, and each signatory represents that he or she is authorized to bind the party for which he or she signs.

SIERRA CREST GENERAL CONTRACTORS, INC. By: _____ Name: Daniel R. Ochoa Title: Vice President, Operations Date: _____

GRANITE STATE CONCRETE, INC. By: _____ Name: Theresa M. Lindqvist Title: President Date: _____

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Scheduled Value
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1	Mobilization and site setup	$12,000.00
2	Secondary layout and survey coordination	$8,500.00
3	Footings, grade beams, and pile caps	$96,000.00
4	Stem walls and foundation walls	$54,000.00
5	Slab on grade, vapor retarder, and polished finish	$108,000.00
6	Mezzanine topping slab on metal deck	$41,500.00
7	Site concrete: walks, curbs, and plaza paving band	$38,000.00
8	Equipment pads	$9,000.00
9	Curing, protection, and testing coordination	$7,000.00
10	Closeout documentation and as-builts	$11,000.00
	Subcontract Sum	**$385,000.00**

Fictional contract generated for the Groundwork demo. Not legal advice. No real parties.